

The Court **GRANTS** Defendant's motion for summary judgment.

4. 9:00 AM CASE NUMBER: C23-02566
CASE NAME: ALFRED GARZA VS. AMERIT FLEET SOLUTIONS, INC.
*HEARING ON MOTION IN RE: APPROVAL OF PAGA SETTLEMENT
FILED BY: GARZA, ALFRED
TENTATIVE RULING:

The Court grants Plaintiff's Unopposed Motion for Approval of PAGA Settlement/Final Judgment. The court shall sign the Proposed Order lodged with the Court on March 13, 2026. The Parties shall file a joint status report and declaration from the Administrator by September 11, 2026, advising the Court of the distribution of settlement funds. **The Court sets September 24, 2026 at 8:30 am in Dept. 32 for an Order to Show Cause re: Compliance with PAGA Settlement.**

5. 9:00 AM CASE NUMBER: C23-02622
CASE NAME: LIBERTY BUSINESS ADVISORS OF SAN FRANCISCO, INC. VS. TOOV, INC.
*HEARING ON MOTION IN RE: LEAVE TO FILE FIRST AMENDED COMPLAINT
FILED BY: LIBERTY BUSINESS ADVISORS OF SAN FRANCISCO, INC.
TENTATIVE RULING:

Plaintiff Liberty Business Advisors of San Francisco, Inc.'s Motion for Leave to File a First Amended Complaint ("FAC") is **granted**. Plaintiff shall prepare and submit the order, file and serve notice of entry of order, and file the FAC within 10 days of the hearing.

Background

Plaintiff Liberty Business Advisors of San Francisco, Inc. filed this action against defendant Toov, Inc. to recover broker commissions allegedly owed under two listing agreements, one covering the sale of Toov's gas station business and one covering associated property at 1744 West San Carlos Street in San Jose. Toov had entered into an asset purchase agreement and a companion purchase and sale agreement to sell the business and property to Kesar Petroleum, Inc. Those transactions did not close. Kesar pursued a claim in arbitration against Toov to recover its deposit, and Toov ultimately released the deposit to Kesar, and paid Kesar an additional sum to resolve the dispute. Plaintiff alleges that under the terms of its listing agreements, Toov's default nonetheless triggered an obligation to pay plaintiff commissions in excess of \$225,000. The original complaint, filed against Toov and fictitiously named defendants, pleaded ten causes of action sounding in breach of contract.

Plaintiff now moves for leave to file a FAC. Plaintiff states that it learned during discovery that Toov filed a Certificate of Dissolution (“COD”) with the California Secretary of State on August 5, 2025, in which Naamatollah Zaghi, Toov’s owner and principal officer, declared that Toov’s known debts had been paid to the extent of its assets, and that the corporation had been “completely wound up.” Plaintiff asserts these statements were false because plaintiff’s commission claim was a known liability at the time the COD was filed, and because Toov failed to follow statutory dissolution procedures for notifying potential creditors. Plaintiff further states that discovery revealed Toov and Zaghi transferred the business to 1744 San LLC, an entity it describes as wholly owned by Zaghi, and that 1744 San LLC in turn transferred or leased interests in the business to Synergy 1744 Petroleum, Inc., which now runs the business.

Based on these discovered facts, the proposed FAC would add Zaghi, 1744 San LLC, and Synergy as defendants, add allegations regarding the dissolution and its asserted deficiencies, an alter ego claim against Zaghi, civil conspiracy allegations, and add new causes of action for violation of the Uniform Voidable Transactions Act (“UFTA”) and common law fraudulent transfer, as well as a claim for punitive damages. Plaintiff has not previously sought leave to amend, and no trial date has been set.

On June 29, 2026, Toov filed a memorandum of points and authorities in opposition to the motion.

Legal Standards

Motions for leave to amend are directed to the sound discretion of the Court. (CCP §§ 473(a) (1), 576.) California courts allow great liberality at all stages of the proceeding in permitting the amendment of pleadings to resolve cases on their merits. (*IMO Development Corp. v. Dow Corning Corp.* (1982) 135 Cal. App. 3d 451, 461.) Because the policy favoring amendment is so strong, “[i]t is a rare case in which denial of leave to amend can be justified. Leave to amend should be denied only where the facts are not in dispute, and the nature of the plaintiff's claim is clear, but under substantive law, no liability exists and no amendment would change the result.” (*Howard v. County of San Diego* (2010) 184 Cal. App. 4th 1422, 1428.)

Courts may permit amendments at any stage in the proceedings, up to and including trial, so long there is no prejudice to the adverse party. (*Atkinson v. Elk Corp.* (2003) 109 Cal.App.4th 739, 761.) Delay in requesting leave to amend will not support denial of leave to amend unless the delay caused prejudice. (*Higgins v. Del Faro* (1981) 123

Cal.App.3d 558, 564-65.) Prejudice exists where, for example, the amendment would require delaying the trial, resulting in loss of critical evidence or added costs of preparation, increased burden of discovery. (*Magpali v. Farmers Group, Inc.* (1996) 48 Cal.App.4th 471, 468-488.)

Procedurally, a motion to amend must: (1) include a copy of the proposed amendment or amended pleading; (2) state what allegations in the previous pleading are proposed to be deleted, if any, and where, by page, paragraph, and line number, the deleted allegations are located; and (3) state what allegations are proposed to be added to the previous pleading, if any, by page, paragraph, and line number, the additional allegations are located. (California Rules of Court (CRC), rule C 3.1324(a).) Also, a separate declaration must specify: (1) the effect of the amendment; (2) why the amendment is necessary and proper; (3) when the facts giving rise to the amended allegations were discovered; and (4) the reasons why the request for amendment was not made earlier. (CRC 3.1324(b).)

Analysis

The Court notes at the outset that defendant's opposition is supported by no declaration or other evidence. The factual assertions in Defendant's memorandum, including the assertion that 1744 San LLC is capable of satisfying any judgment against Toov and the assertion regarding Zaghi's health, appear only in the unsworn memorandum of points and authorities submitted by counsel. On this basis alone the Court would be justified in disregarding these assertions. But even if the Court were to consider these assertions on the merits, it would still find good cause to grant the motion.

Plaintiff's motion satisfies the procedural requirements of California Rules of Court, rule 3.1324 (see Hammel Decl.), and the Court accordingly turns to the merits. Plaintiff's proposed amendments fall into several categories. The first concerns the addition Naamatollah Zaghi, 1744 San LLC, and Synergy 1744 Petroleum, Inc. as defendants, based on Plaintiff's contention that Zaghi controlled and directed the conduct at issue, and that the entities received and now operate the business through transfers plaintiff learned of during discovery. The second concerns new allegations regarding Toov's dissolution, including the circumstances of the filing, statements Zaghi made in the COD, and plaintiff's claim that Toov failed to follow procedures applicable to a voluntary dissolution. The third concerns new theories of liability, including alter ego against Zaghi and conspiracy allegations against all defendants. The fourth concerns new causes of action for violation of the UVTA and common law fraudulent transfer, and the addition of punitive damages, based on plaintiff's

contention that transfers of the business to 1744 San LLC, and then to Synergy, were made to hinder or delay plaintiff's recovery.

As to the new parties and the alter ego theory, defendant argues that plaintiff has offered no evidentiary support for piercing the corporate veil, and that the proposed allegations amount to conclusory assertions that corporate formalities were not followed (and for which defendant claims there is no evidentiary support). As to the corporate dissolution allegations, defendant argues that dissolution does not by itself impose personal liability on an officer or owner. As to the proposed fraudulent transfer claims, defendant argues that plaintiff has pointed to no evidence of a fraudulent transfer, and that such claims should in any event await resolution of the underlying commission dispute.

In ruling on a motion for leave to amend, courts generally do not consider the amended pleading's merits. (*Atkinson v. Elk Corp.* (2003) 109 Cal.App.4th 739, 760; Weil and Brown, Cal. Practice Guide: Civil Procedure Before Trial (The Rutter Group 2024) ¶ 6:644 ["Ordinarily, the judge will not consider the validity of the proposed amended pleading in deciding whether to grant leave to amend. Grounds for demurrer or motion to strike are premature. After leave to amend is granted, the opposing party will have the opportunity to attack the validity of the amended pleading"].) Defendant's arguments regarding the sufficiency of the alter ego allegations, the legal effect of a corporate dissolution standing alone, and whether there is evidentiary support for a fraudulent transfer claim go to the merits of the proposed amendments and are properly raised at a later stage of the litigation.

Defendant argues that Zaghi was recently diagnosed with dementia such that it would be unjust to require him to defend this case personally and without the assistance of his family. This assertion appears only in defendant's memorandum and is not supported by any declaration from Zaghi, a family member, a treating physician, or other person with knowledge of the condition. Setting aside the lack of proof, this argument does not bear on whether plaintiff should be given leave to amend. If Zaghi needs assistance to participate in this litigation, that circumstance is addressed through the mechanisms available once he is made a defendant, including the appointment of a guardian ad litem, if required. Similarly, to the extent defendant believes the fraudulent transfer claims should be resolved after the underlying liability dispute is tried, that concern is properly raised through a motion to bifurcate or other appropriate case management motion.

Defendant contends that adding new parties and claims will require a new round of discovery and delay resolution of a case pending since October 2023. Plaintiff did not

delay, as the facts giving rise to these amendments were recently discovered. But even so, delay by itself is not a ground to deny leave to amend unless it results in specific prejudice such as the loss of critical evidence or the unavailability of a witness. Defendant has not made that showing.

There is no basis in the record for finding that delay has prejudiced an opposing party. There is no trial date, so defendants will have sufficient time to respond to the amended complaint and prepare for trial on the new allegations. The Court therefore exercises its discretion to permit the amendment.

Disposition

Plaintiff's motion is **granted**. Plaintiff shall prepare and submit the order, file and serve notice of entry of order, and file the FAC within 10 days of the hearing.

6. 9:00 AM CASE NUMBER: C24-01396
CASE NAME: JESUS TORRES VS. CHICAGOS PIZZA IP HOLD CO., LLC
*HEARING ON MOTION IN RE: BE RELIEVED AS COUNSEL RE: KATHLEEN E. FINNERTY
FILED BY: CHICAGOS PIZZA IP HOLD CO., LLC
TENTATIVE RULING:

The unopposed motion of attorney **KATHELEEN E. FINNERTY** to be relieved as counsel for **CHICAGO'S PIZZA HOLD CO., LLC** is granted.

Cal. Rules of Court Rule No. 3.1362 and Cal. Code of Civ. Proc. 284(1) and (2) sets forth the standard and procedure to be relieved as counsel of record. The Code permits an attorney to be changed at any time before or after judgment or final determination upon the consent of both client and attorney, or upon order of the court, upon the application of either client or attorney, after notice from one to the other.

CHICAGO'S PIZZA HOLD CO., LLC'S Counsel has complied with the provisions of this rule and statute providing notice to client and supporting his motion with a declaration articulating the reasons for withdrawal.

After reviewing the papers and arguments submitted by counsel and after considering and weighing the prejudice to both sides, and reviewing the relevant statutory and decisional authority, the Court finds that there is good cause to grant the Motion of